Project Avocet: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

November 3, 2026

Fictional case study

Prepared by an AI multi-agent diligence system with human review

All amounts are US$ millions (shown as $m) unless stated. Every percentage-of-value test uses the deal's enterprise value (EV) of $2,750.0m: 5% = $137.5m, 10% = $275.0m. At the deal multiple of 11.0x, $1.0m of EBITDA equals $11.0m of value. "(inference)" and "(projection)" mark conclusions that go beyond what a source states. Finding IDs refer to the findings register; LIT-01 to LIT-08 also match the case IDs in the litigation docket. This report is a draft for human decision-makers. It is not investment, legal or accounting advice.

1. Executive summary

Bottom line

Proposed recommendation: Do not proceed at the current price of $34.00 per share. The Investment Committee makes the decision.

The deal is priced at 11.0x LTM Adjusted EBITDA of $250.0m. The verified findings show that this base is too high. On the project's normalization rule, the base is $217.5m to $222.5m, and the operating trend is still falling (X-01, X-02). About $31.0m of the base ends with a port concession in September 2028 (X-05). Lease-end restoration obligations of $312.0m are not on the balance sheet, and Trelliswood's own integration plan triggers $118.0m of them (X-09). The overlap in Puget Sound and the Northern Central Valley could block closing within the proposed $15.0m divestiture cap (X-07).

Top five red flags

1. **Merger antitrust review could block closing (X-07, Critical).** Combined capacity shares are about 43% in Puget Sound and 39% in the Northern Central Valley. At its June 2026 investor day, Trelliswood said it consolidates acquired capacity and "hand[s] back the older leased boxes". The deal plan does exactly this in both markets. The divestiture cap covers about 6% of Brindlewick's EBITDA, against 41.8% of its capacity in the two markets.
2. **The earnings base is overstated (X-01, Critical).** Normalized LTM is $217.5m to $222.5m. At 11.0x, value is $302.5m to $357.5m (11.0% to 13.0% of EV) below the deal EV, or $26.55 to $27.70 per share (projection).
3. **Operating trend is falling (X-02, Critical).** Revenue growth went from +6.8% to -2.3%, occupancy fell to 81.4%, and FY2026 guidance was cut 11.8%. The annualized H1 2026 fall of $42.0m is $462.0m (16.8% of EV) at 11.0x. This is the Critical test number, not a proposed price cut. The gap to the deal base is $154.0m to $231.0m (projection).
4. **Sandhaven earnings end September 30, 2028 (X-05, Critical).** Sandhaven 1 and 2 earn $31.0m (12.4%) of LTM Adjusted EBITDA. The Harbor District's executive director says there will be no extension. That is $341.0m (12.4% of EV) at 11.0x. The deal brief does not mention it.
5. **Unrecorded lease-end restoration of $312.0m (X-09, Critical).** This is 11.3% of EV and 48.6% of reported equity. Surrendering the four leases in the integration plan triggers $118.0m, 2.6 times the $45.0m integration budget.

Also Critical: the **antitrust class action** (X-08). Treble damages with joint and several liability give an upper bound of $1,800.0m (65.5% of EV). Brindlewick's own 8% share, trebled, is $144.0m (5.2%). Nothing is accrued.

Main positive and mitigating points

- **Debt maturities:** none before March 2030, and all debt can be repaid at par, so repaying it at closing costs no premium (SEC-23).
- **Customer retention and concentration:** about 1,310 customers, the largest at 5.7% of revenue and the top ten at 34.3% (FIN-27, SEC-20). *Qualified:* the tenth-largest customer, FreshArc, has liquidated (X-13), active customers fell 1.1% in H1 2026 (FIN-30), and two customers moved volume after ColdTrack failures (SEC-06).
- **Segment still growing:** value-added services grew 17.4% in FY2025 and 13.2% in H1 2026 (SEC-45).
- **Items correctly excluded from adjusted metrics:** the $46.0m 2024 sale-leaseback gain is kept out of Adjusted EBITDA and is outside the LTM (SEC-03).
- **Dismissed, settled or closed litigation:** the Greenfield Produce claim ($22.5m) was dismissed with prejudice, with no appeal (LIT-07). The Westmark claim ($33.0m) is covered by an uncapped indemnity that Arcturus accepted in writing without reservation of rights (LIT-06).
- **Supply or price protections:** the $0.50 per pound warehouse-receipt cap limits the Coastline claim to about $1.24m, pending a December 11, 2026 ruling (LIT-05). *Qualified:* fixed-price power runs only to December 31, 2026, before closing (X-03).
- **Internal controls and auditor:** controls were judged effective at December 31, 2025 and June 30, 2026. Audit opinions were unqualified, and Pemberton & Hale has audited the company since 2009 (SEC-36). *Qualified:* three practices in the same periods are called into question (X-10).
- **Cash conversion:** operating cash flow has been a steady 67% to 75% of Adjusted EBITDA (FIN-31).

Valuation implications (projection)

The items below overlap in part, so they should not be added together.

View	Earnings base	Value at 11.0x	Against EV of $2,750.0m	Per share
Deal brief	250.0	2,750.0	n/a	$34.00
Normalized LTM before property tax and FreshArc (X-01)	233.2	2,565.2	(184.8), 6.7%	$30.15
Normalized LTM, project rule (X-01)	222.5 to 217.5	2,447.5 to 2,392.5	(302.5) to (357.5), 11.0% to 13.0%	$27.70 to $26.55
Forward run-rate, before property tax and FreshArc (X-01 with X-02)	220.1	2,421.1	(328.9), 12.0%	$27.15
Sandhaven earnings, if not replaced (X-05)	(31.0)	(341.0)	12.4%	n/a

- **Cash items outside EBITDA:**
  - restoration triggered by the plan: $118.0m (X-09);
  - priority capex in 2027 to 2029: $96.0m (X-16);
  - uninsured I-5 exposure: $95.0m to $125.0m (X-14);
  - a Sandhaven replacement facility, if one is built: $180m to $220m (X-05).
- **Known deal costs:** $62.6m if the deal closes, or the $110.0m reverse termination fee if it fails on antitrust grounds (X-11).

- **Context:** the unaffected share price was $26.15, which put EV at 9.49x LTM (FIN-03).

2. Answers to the six Investment Committee questions

Q1. Earnings base: is $250.0m of LTM Adjusted EBITDA a sound base for 11.0x?

No. The $250.0m recomputes correctly (FIN-01), but its quality does not support 11.0x.

- **Normalized LTM is $217.5m to $222.5m (X-01, projection).** The bridge from $250.0m:
  - less $3.7m of benefit from the insurance accrual cut (X-04);
  - plus $4.6m of ColdTrack credits, if they do not recur (SEC-06);
  - less $17.7m a year for repricing the 2021 fixed-price power contracts from January 1, 2027 (X-03);
  - less $4.7m a year of property tax that the change of control triggers (SEC-16);
  - less the FreshArc preference loss, $6.0m to $11.0m, which counsel calls likely and the company has not accrued (X-13).
- **The trend is still down (X-02).** H1 2026 Adjusted EBITDA fell 15.1%. The CFO said the second half would not look "very different from the first". The H1 run-rate of $236.0m is $14.0m below the deal base. On run-rate, forward normalized earnings are $220.1m before property tax and FreshArc.
- **Sandhaven (X-05).** $31.0m of the base ends September 30, 2028.
- **Growth link.** The two facilities that drove FY2025 growth, Calder Valley and Bayfront, carry $61.5m of the unrecorded restoration (X-09). The deal multiple is applied to earnings that include them (inference).
- **Smaller items:**
  - severance and transaction costs labeled non-recurring come back each year (SEC-02);
  - the 2025 additions flatter H1 2026 against H1 2025 (FIN-11).

Q2. Unrecorded obligations: what sits outside net debt or off the balance sheet?

Net debt of $1,118.0m ties to the balance sheet (FIN-21). The following sit outside it:

- **Lease-end restoration (X-09, Critical):** $312.0m, unrecorded and undiscounted. Our plan triggers $118.0m of it at Puyallup Junction, Kent Valley, Stockton North and Lodi. The integration budget does not include it (FIN-25). Restatement risk (inference): FY2025, its FY2024 comparative and June 30, 2026.
- **Antitrust class action (X-08, Critical):** no accrual. The upper bound is $1,800.0m; Brindlewick's own share, trebled, is $144.0m.
- **I-5 fatal crash (X-14, High):** a $150.0m demand against $55.0m of combined retention and excess cover. Only the $5.0m retention is reserved.
- **FreshArc preference loss (X-13, Medium):** $6.0m to $11.0m, which counsel calls likely, is not accrued.
- **Other possible debt-like items (FIN-26):**
  - accrued claims reserves of $44.1m (adequacy in doubt, X-04);
  - other non-current liabilities of $25.5m;
  - change-in-control severance of about $16.4m, not accrued.
- **Deferred maintenance (X-16):** $96.0m of priority replacements in 2027 to 2029.
- **Sale-leaseback accounting (SEC-18):** sale treatment of the $214.0m Ironbridge transaction rests on a judgment. If it failed, the $214.0m would become a financing obligation (inference).

- **Not found:** the 10-K reports no pension or multiemployer plan, and no employee is represented by a union (SEC-22). Operating lease liabilities of $668.0m are outside net debt, consistent with the EBITDA definition (FIN-24).

Q3. Antitrust: can the combination clear within the $15.0m divestiture cap and the outside date?

On the sources, the deal may not clear on the proposed terms (X-07, Critical, test: could block closing).

- **Combined shares** are about 43% in Puget Sound and 39% in the Northern Central Valley. That raises HHI by 912 and 756 points (arithmetic). The shares come from different data sets, so they are approximate.
- **Trelliswood's public statements** describe buying and closing acquired capacity in overlap markets. The integration plan closes four Brindlewick sites in those two markets: 234k pallets, 20.4% of Brindlewick's capacity.
- **The cap is small against the overlap:**
  - $15.0m is 6.0% of LTM Adjusted EBITDA, against 41.8% of Brindlewick's capacity in the two markets;
  - Sandhaven alone earns $31.0m, 2.1 times the cap.
  - If a reviewer asks for more, Trelliswood has no obligation to divest more. The deal could then fail, and the $110.0m reverse termination fee would be payable.
- **Class action link:** the class action (X-08) alleges that operators exchanged rates "by market" through Coldmetric. Trelliswood cites Coldmetric data for its own shares. Whether Trelliswood subscribed to Coldmetric, or is one of the six unnamed defendants, is not in the sources.
- **Timing:** the class certification motion is due February 26, 2027, during the expected review.
- **Possible arguments for the defense (inference):**
  - about 140,000 new speculative positions in the Central Valley (NEWS-02);
  - customers can build their own;
  - Sandhaven's exit in 2028 would cut Brindlewick's Puget Sound capacity by 38.8%.
- **Gaps:** no source gives a reviewer's position or facility-level EBITDA, so antitrust counsel must assess the remedy and the timetable.

Q4. Cost of the deal: what will it cost beyond the equity price, and how should it be presented?

- **Known deal costs (X-11, High):**
  - equity award cash-out: $46.2m;
  - change-in-control severance: $16.4m;
  - reverse termination fee: $110.0m;
  - together, $172.6m (6.3% of EV) under the project rule, which adds the three categories.
  - The reverse fee is paid only if the deal fails on antitrust grounds. If the deal closes, the cost is $62.6m (2.3%).
- **Fees:** advisory, financing and other fees of $72.0m are a use of funds, not part of the test.
- **Presentation:**

    - Fully diluted EV is $2,796.2m (11.18x LTM). The all-in cost including severance is $2,812.6m (11.25x), not 11.0x (SEC-38).
    - The sources and uses and the integration budget both leave out the $16.4m severance (SEC-38).
    - The severance plan was adopted September 21, 2026, the day before the strategic review was announced, and it raised the multiples (SEC-40).
    - PSUs vest at target under the plan, so the $46.2m recomputes (SEC-39).
- **Other cash costs the deal itself triggers** (not in the test, but in the price discussion):
    - $118.0m of restoration (X-09);
    - the $45.0m integration budget;
    - $4.7m a year of property tax (SEC-16).

Q5. Contracts and facilities: what changes after 2026 or on a change of control?

- **Power (X-03, High):** the 2021 fixed-price contracts covering 70% of use at $61/MWh end December 31, 2026. At 2027 to 2029 offers of about $104/MWh, cost rises $17.7m a year, worth $195.0m (7.1% of EV) (projection). No pass-through to customers is shown.
- **Sandhaven concession (X-05, Critical):** expires September 30, 2028, with no renewal option. The improvements revert to the District.
- **Harvest Peak and most-favored-customer clauses (X-12, High):**
    - a seven-year contract signed July 2026 at about 9% below the rate card;
    - two existing customers have already asked for most-favored-customer reviews;
    - upper bound $15.2m a year on $169.0m of revenue under those clauses (projection).
    - Two of the three Harvest Peak sites, Stockton North and Lodi, are among the four leases we plan to surrender (NEWS-09).
- **Four surrendered leases:** $118.0m of restoration (X-09). Remaining rent and termination rights are not in the sources (SEC-21).
- **Change of control:**
    - California property tax reassessment adds $4.7m a year (SEC-16);
    - the severance plan pays $16.4m (X-11);
    - equity awards that are not assumed vest in full (SEC-39);
    - all debt can be repaid at par (SEC-23).
    - Change-of-control and assignment terms of the leases, the Ironbridge master lease, the concession, and the customer and power contracts are not disclosed (SEC-21).
- **ColdTrack (X-15):** halting the rollout, as the plan proposes, strands $47.0m of capitalized software (inference, non-cash).

Q6. Litigation and compliance: which matters need a price adjustment, a specific protection or more work?

Matter	Finding	Posture and next date	What it needs
Antitrust class action (LIT-01)	X-08, Critical	Motion to dismiss denied Aug 14, 2026; class certification motion due Feb 26, 2027	Price, a litigation analysis before signing, consent rights over settlement, and treatment in the MAE definition; confirm Trelliswood's own status
I-5 fatal crash (LIT-02)	X-14, High	Mediation Mar 10, 2027; trial Sep 13, 2027	Confirm the insurance tower and insurers' position; price adjustment for the uninsured amount; consent rights over settlement
ICE inspections	SEC-27, High	Notices served Jul 28, 2026 at six sites; about 410 unresolved discrepancies	Work before signing on remediation and staffing; a specific covenant
Fleet safety allegations (LIT-02)	LIT-10, FIN-14, Medium	Accidents per million miles rose from 0.66 (FY2023) to 0.84 (H1 2026)	Compliance diligence before the fleets are combined
Calder Valley nuisance (LIT-03)	LIT-03, Medium	Preliminary injunction hearing Jan 15, 2027; settlement signal Oct 2026	Settlement authority as an interim covenant; site EBITDA
Coastline spoilage (LIT-05)	LIT-05, Medium	Summary judgment hearing on the cap Dec 11, 2026	Get the ruling before signing; $40.0m is at risk if the cap fails
FreshArc preference (LIT-04)	X-13, Medium	Answer due Nov 20, 2026	Accrual review; small price item
Westmark / Polar Ridge (LIT-06)	LIT-06, Low	Indemnified; case management Jan 22, 2027	Confirm the indemnity documents (mitigant)
Greenfield Produce (LIT-07)	LIT-07, Low	Dismissed with prejudice Mar 7, 2025	None (closed)
Canadian trademark opposition (LIT-08)	LIT-08, Low	Evidence due Jan 8, 2027	None

An anonymous forum claim about Fresno temperature logs is unconfirmed, and the company denies it (NEWS-19, Low). It is listed under open questions only.

3. Risk matrix

One row per distinct issue. Supporting findings that state the same fact are shown in brackets after the parent. The value effects in different rows overlap in part and are not additive.

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-07 [SEC-26, NEWS-12, NEWS-13, NEWS-14, LIT-09]	Merger review. Test met: could block closing. Combined shares are about 43% and 39%, the buyer has said it consolidates acquired capacity, and the $15.0m cap covers 6.0% of EBITDA against 41.8% of capacity in the two markets	Cross-source	Critical	Medium	Closing risk; $110.0m reverse fee	Antitrust counsel analysis before signing; reset the divestiture cap, reverse fee and outside date; confirm Trelliswood's class action status
X-01 [FIN-03]	Normalized LTM is $217.5m to $222.5m. Test met: more than 10% of value, $302.5m to $357.5m (11.0% to 13.0%) (projection)	Cross-source	Critical	Medium	Valuation	Price
X-02 [FIN-02, SEC-05, NEWS-01, FIN-10, FIN-12, FIN-13, NEWS-02, NEWS-03, FIN-30, FIN-11, SEC-08]	Operating trend falling. Test met: more than 10% of value, annualized fall $462.0m (16.8%); on guidance, $297.0m to $385.0m (projection). Draws on separate parents X-03, X-04, X-12 and SEC-06	Cross-source	Critical	Medium	Valuation	Price; Q3 2026 results and monthly data before signing
X-05 [SEC-11, NEWS-21]	Sandhaven earnings of $31.0m end Sep 30, 2028. Test met: more than 10% of value, $341.0m (12.4%)	Cross-source	Critical	High	Valuation; capex of $180m to $220m to replace	Price, or a contingent value structure tied to an extension; District correspondence
X-09 [SEC-13, FIN-25]	Unrecorded restoration of $312.0m. Test met: more than 10% of value on the full amount (11.3%); the plan triggers $118.0m	Cross-source	Critical	High	Valuation; post-closing cash; restatement risk	Price; Holbrook report and lease documents; revisit the surrender plan

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-08 [LIT-01, NEWS-15, SEC-25]	Antitrust class action. Test met: more than 10% of value, as the remedy sought ($1,800.0m upper bound, 65.5%); no accrual; 10-Q omits the co-defendant settlement	Cross-source	Critical	Medium	Valuation; exposure after closing	Price; litigation analysis before signing; consent rights over settlement; MAE treatment
X-03 [SEC-15, NEWS-11, FIN-17]	Power repricing from Jan 1, 2027: $17.7m a year, $195.0m (7.1%) (projection)	Cross-source	High	Medium	Valuation	Price; 2027 contracts and pass-through terms
X-04 [SEC-04, FIN-04, NEWS-04]	Insurance accrual cut to 4.8% while accidents rose; $7.3m a year (projection)	Cross-source	High	Medium	Valuation; reserve adequacy	Actuarial review before signing; reserve true-up in price
X-14 [LIT-02, NEWS-16, SEC-29]	I-5 suit: $150.0m demand, $95.0m above cover; disclosure gaps	Cross-source	High	Medium	Valuation; exposure after closing	Confirm the insurance tower; price adjustment; consent rights over settlement
X-12 [SEC-19, FIN-16, NEWS-08]	Harvest Peak pricing triggered MFN reviews; upper bound $15.2m a year (projection)	Cross-source	High	Medium	Valuation	Interim covenant on pricing concessions and MFN settlements; price adjustment for claims already made
X-11 [SEC-37, SEC-39, SEC-40, FIN-35, FIN-38]	Known deal costs $172.6m (6.3%) under the rule; $62.6m if the deal closes	Cross-source	High	High	Price	Put award cash-out and severance in the price; interim covenant on new grants
X-10 [SEC-14]	Effective-controls conclusions against three questioned practices; restatement risk (inference)	Cross-source	High	Medium	Representations; restatement risk	Accounting diligence before signing; price or structure response
SEC-27 [NEWS-20]	ICE inspections at six sites; about 410 documentation discrepancies	SEC filings	High	High	Operations; labor cost	Specific covenant; remediation plan before signing

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-06 [SEC-12, NEWS-22]	Sandhaven disclosure gap: 10-K expected an extension that the District says it had ruled out	Cross-source	Medium	Medium	Disclosure; credibility	Management interview; District correspondence
X-13 [LIT-04, SEC-31, LIT-11, FIN-28]	FreshArc liquidated; likely $6.0m to $11.0m loss not accrued	Cross-source	Medium	High	Valuation (minor); accrual	Accrual review; price item
X-15 [SEC-07, FIN-20, NEWS-10]	ColdTrack: no impairment of $47.0m at Jun 30, 2026	Cross-source	Medium	Medium	Purchase accounting (non-cash)	Impairment memo; remaining commitments
X-16 [SEC-17, FIN-18, LIT-12]	Deferred maintenance; $96.0m of priority replacements in 2027 to 2029	Cross-source	Medium	High	Capex	Engineering diligence; catch-up capex in price
SEC-16	Change of control raises property tax by about $4.7m a year	SEC filings	Medium	High	Valuation	Tax adviser estimate; price
SEC-38 [FIN-37]	Severance missing from sources and uses and the integration budget	SEC filings	Medium	High	Presentation; funding	Add to sources and uses
SEC-42	CFO and CAO expected to leave while accounting judgments are open	SEC filings	Medium	High	Oversight after closing	Retention through the first audit and purchase accounting
FIN-22 [SEC-24]	Leverage rose to 4.47x; covenant levels not disclosed	Financial analysis	Medium	High	Closing risk if earnings keep falling	Credit agreement and covenant headroom; bring-down
LIT-03 [NEWS-18, SEC-32]	Calder Valley night-operations injunction sought; hearing Jan 15, 2027	Litigation	Medium	Medium	Operations at one site (about 4% of revenue)	Interim covenant on settlement; site EBITDA
LIT-05 [SEC-30]	Coastline: $41.2m claimed against an about $1.24m cap	Litigation	Medium	Medium	Valuation (minor)	Get the Dec 11, 2026 ruling before signing
LIT-10	Fleet safety allegations from the I-5 suit; Brindlewick admits the ELD edit	Litigation	Medium	Low	Integration; insurance	Compliance diligence; FMCSA rating
FIN-14 [NEWS-17]	Accidents per million miles up to 0.84	Financial analysis	Medium	High	Integration; insurance cost	Safety diligence before combining fleets

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
NEWS-09	Harvest Peak volume sits at two of the four sites to be surrendered	News and media	Medium	Medium	Synergies; integration	Contract relocation terms
SEC-18	Ironbridge sale-leaseback sale treatment rests on a judgment	SEC filings	Medium	Medium	Debt-like item; restatement risk	Auditor consultation memo
SEC-21	Change-of-control and assignment terms not disclosed	SEC filings	Medium	High	Consents; integration cost	Lease and contract review
FIN-19	$48.0m of H1 2026 growth capex with no capacity added	Financial analysis	Medium	Low	Capex quality	Project list
FIN-26	Claims reserves and other liabilities of $69.6m outside net debt	Financial analysis	Medium	Medium	Net debt definition	Composition of other liabilities
FIN-32	Free cash flow thin after capex and finance leases	Financial analysis	Medium	High	Valuation; financing	Cash flow forecast
SEC-02 [FIN-05, FIN-06]	"Non-recurring" severance recurs; $1.4m of H1 2026 transaction costs predate the review	SEC filings	Low	High	Valuation (minor)	Ask what the costs cover
SEC-06	ColdTrack credits of $4.6m in H1 2026; lost volume not confirmed	SEC filings	Low	High	Valuation (possible add-back)	Customer data
SEC-28	10-K I-9 risk factor written as hypothetical during a self-audit	SEC filings	Low	Low	Disclosure	Self-audit timeline
SEC-35	10-K excerpts omit three events before filing	SEC filings	Low	Medium	Disclosure	Full 10-K text
FIN-39	Goodwill and intangibles of $349.0m; impairment test date not disclosed	Financial analysis	Low	Medium	Accounting	Test date and headroom

Verified positive or neutralized findings (no risk row; see the executive summary): SEC-01 and FIN-01 (LTM ties), SEC-03 [FIN-09, NEWS-06] (gain correctly excluded), SEC-20 and FIN-27 (low concentration), SEC-22 (no pension or union), SEC-23 (debt maturities), SEC-33 and LIT-06 (indemnified claim), SEC-34 and LIT-07 (dismissed claim), SEC-36 (controls and auditor), SEC-45 [NEWS-05, FIN-15] (value-added services

growth), FIN-21 (net debt ties), FIN-24 (lease treatment), FIN-31 (cash conversion), FIN-34 (DSO), FIN-36 (deal arithmetic ties).

4. Workstream detail

SEC filings

The analyst reviewed the FY2025 10-K (filed February 26, 2026), the 2026 proxy, the Q2 2026 10-Q (filed August 6, 2026) and the 8-Ks of March 20 and September 22, 2026.

- **Earnings quality.**
  - The LTM reconciliation ties (SEC-01).
  - The insurance accrual rate was cut from 6.5% to 4.8% from January 1, 2026, worth $3.7m in H1 2026 (SEC-04).
  - H1 2026 weakened across revenue, margins, occupancy, price and throughput (SEC-05).
  - Revenue is net of $4.6m of ColdTrack credits (SEC-06).
- **Liabilities.**
  - Eleven leases carry $312.0m of unrecorded restoration (SEC-13). The company says settlement dates are "indeterminate", which a facility-by-facility estimate puts in doubt (SEC-14).
  - Sale treatment of the Ironbridge sale-leaseback is a contestable judgment (SEC-18).
- **Facilities and contracts.**
  - The Sandhaven concession ends September 30, 2028 (SEC-11), and the filings' wording changed after the District's vote (SEC-12).
  - Fixed-price power ends December 31, 2026 (SEC-15).
  - The change of control raises property tax by $4.7m a year (SEC-16).
  - Most-favored-customer clauses cover about $169.0m of revenue (SEC-19).
  - Change-of-control terms are not disclosed (SEC-21).
- **Capex:** maintenance capex was deferred, with $96m of priority work in 2027 to 2029 (SEC-17).
- **Debt:** no maturities before 2030, prepayable at par (SEC-23). Leverage is rising, and covenant terms are not disclosed (SEC-24).
- **Litigation and compliance.**
  - Class action (SEC-25), I-5 suit (SEC-29), Coastline (SEC-30), FreshArc (SEC-31), Calder Valley (SEC-32), Polar Ridge (SEC-33) and Greenfield (SEC-34).
  - ICE inspections (SEC-27). The 10-K's I-9 risk factor was written as hypothetical (SEC-28). The 10-K excerpts omit three early-2026 events (SEC-35).
- **Governance and pay.**
  - Controls were effective and the auditor has served since 2009 (SEC-36).
  - Known deal costs (SEC-37). The sources and uses leave out the severance (SEC-38). PSUs vest at target (SEC-39). The severance plan was adopted the day before the review (SEC-40).
  - The CFO and CAO are expected to leave (SEC-42).

- **Positives:** low concentration (SEC-20), no pension or union (SEC-22), value-added services growth (SEC-45).

News and media

Fourteen articles were reviewed and each source's reliability was rated. Company results and on-record quotes are rated High. Anonymous claims are rated Low.

- **Results and guidance.**
  - On August 6, 2026 guidance was cut to $236m to $244m (NEWS-01).
  - Occupancy is falling and new Central Valley capacity is arriving (NEWS-02).
  - The transportation operating ratio worsened (NEWS-03).
  - Analysts challenged the insurance accrual cut on the call (NEWS-04).
- **Contracts and costs.**
  - Harvest Peak was priced about 9% below the rate card (NEWS-08), at two of the sites the plan would surrender (NEWS-09).
  - ColdTrack failures and credits (NEWS-10).
  - Power forwards and fixed-price offers for 2027 to 2029 (NEWS-11).
- **Antitrust.**
  - Trelliswood's own capacity shares (NEWS-12) and its investor-day statements (NEWS-13).
  - The Coldmetric ruling as a signal for the merger review (NEWS-14).
  - The class action ruling (NEWS-15).
- **Litigation and compliance.**
  - The I-5 suit (NEWS-16) and rising crash rate (NEWS-17).
  - The Calder Valley suit (NEWS-18).
  - ICE inspections, with staffing losses unconfirmed (NEWS-20).
- **Sandhaven.** The District rules out an extension and puts a replacement at $180m to $220m (NEWS-21). The CEO's February statement conflicts with the District's account (NEWS-22).
- **Low-relevance items:**
  - market reaction (NEWS-07);
  - the anonymous Fresno forum claim, which the company denies (NEWS-19);
  - a food bank donation (NEWS-23).
- **No embedded instructions:** no article tried to instruct the agents.

Litigation

Eight matters were reviewed. The case files are summaries, not full dockets.

- **Antitrust class action (LIT-01).** The upper bound is $1,800.0m. Brindlewick subscribed to Coldmetric for the whole period the alleged exchange operated. LIT-09 covers its link to the merger review.
- **Okafor wrongful death (LIT-02).** A $150.0m demand, and defense counsel's verdict range of $40m to $180m. The safety allegations, including the ELD edit Brindlewick admits, are in LIT-10.

- **Calder Valley nuisance (LIT-03).** An injunction is sought that would cut outbound capacity at the site by about 35%. Mitigation is estimated at $6.5m.
- **FreshArc (LIT-04, LIT-11).** A preference claim of $14.6m. Counsel's likely range is $6.0m to $11.0m, with no accrual. The tenth-largest customer was lost.
- **Coastline (LIT-05, LIT-12).** A $41.2m claim against a $0.50 per pound cap. A compressor and its standby unit both failed.
- **Closed or covered:**
  - Westmark / Polar Ridge, indemnified (LIT-06);
  - Greenfield, closed (LIT-07);
  - a Canadian trademark opposition, with no money at stake (LIT-08).

Open non-antitrust claims, excluding the indemnified LIT-06, add to $205.8m (7.5% of EV) as stated amounts, not as an estimate.

Financial analysis

All financial files foot and the balance sheet balances (FIN-01, FIN-21, FIN-36).

Earnings and trend:

- H1 2026 Adjusted EBITDA fell 15.1% (FIN-02).
- The analyst's own normalization covered the insurance accrual and severance only (FIN-03).
- The insurance accrual cut came while accidents rose (FIN-04).
- Add-backs: severance recurs (FIN-05), transaction costs predate the review (FIN-06), and the sale-leaseback gain is correctly excluded (FIN-09).
- Quarterly revenue growth turned negative (FIN-10), and 2025 additions mask organic decline (FIN-11).
- Occupancy and price both fell (FIN-12), and transportation is near breakeven (FIN-13).
- Accidents per million miles rose (FIN-14).
- Value-added services are still growing (FIN-15).

Contracts, capex and leases:

- Most-favored-customer clauses cover 23% of warehousing revenue (FIN-16).
- Power is 70% fixed at $61/MWh until December 31, 2026 (FIN-17).
- Maintenance capex fell to 2.3% of revenue (FIN-18), and growth capex added no capacity in H1 2026 (FIN-19).
- ColdTrack software of $47.0m would be stranded (FIN-20).
- Lease liabilities of $668.0m are outside net debt, consistently with the EBITDA definition (FIN-24). The integration budget has no lease exit cost (FIN-25).

Debt and cash:

- Leverage rose to 4.47x (FIN-22).
- Other possible debt-like items total $69.6m (FIN-26).
- Cash conversion is steady (FIN-31), free cash flow is thin (FIN-32), and DSO is stable at about 48 days (FIN-34).

Customers:

- Concentration is low (FIN-27).
- FreshArc has liquidated (FIN-28).
- Active customers fell (FIN-30).

Deal arithmetic:

- The equity award cash-out recomputes to $46.2m (FIN-35).
- The sources and uses omit closing items (FIN-37).
- The termination fees tie (FIN-38).
- Goodwill and intangibles total $349.0m, and the impairment test date is not disclosed (FIN-39).

Key metrics

Metric	FY2023	FY2024	FY2025	H1 2025	H1 2026	LTM Jun-26
Revenue	1,265.0	1,342.0	1,398.0	694.0	680.8	1,384.8
Adjusted EBITDA	233.0	252.0	271.0	139.0	118.0	250.0
Adjusted EBITDA margin	18.4%	18.8%	19.4%	20.0%	17.3%	18.1%
Net income	42.3	81.9	57.1	30.6	11.6	38.1
Operating cash flow	163.5	169.2	185.1	77.5	79.5	187.1
Maintenance capex (% of revenue)	4.1%	3.3%	2.5%	2.6%	2.3%	2.3%
Warehouse economic occupancy	87.4%	87.0%	85.6%	86.1%	81.4%	n/a
Revenue per occupied pallet (US$, annualized)	776	823	815	819	784	n/a
Transportation operating ratio	92.9%	93.2%	94.0%	93.8%	96.4%	n/a
DOT accidents per million miles	0.66	0.68	0.72	0.71	0.84	n/a
Insurance and claims accrual rate	6.4%	6.5%	6.5%	n/a	4.8%	n/a
Net debt / Adjusted EBITDA	4.48x	3.84x	4.06x	n/a	n/a	4.47x
Top customer / top 10 share	n/a	5.5% / 33.7%	5.7% / 34.3%	n/a	n/a	n/a

Quarterly revenue growth year over year: Q1 2025 +6.8%, Q2 2025 +6.4%, Q3 2025 +2.7%, Q4 2025 +1.0%, Q1 2026 -1.5%, Q2 2026 -2.3%. Balance sheet at June 30, 2026: equity $641.9m, goodwill $251.0m, intangibles $98.0m, operating lease liabilities $668.0m, accrued claims reserves $44.1m, capitalized software $47.0m.

5. Cross-source insights

These points appear only when sources are combined.

1. **Power repricing can be sized (X-03).**
   - The 10-K says the fixed-price agreements were signed in 2021 and expire December 31, 2026, but gives no future price.
   - A September 2026 power-market article, which does not name Brindlewick, quotes 2027 to 2029 offers at about $104/MWh, and says "Anyone rolling off a contract signed in 2021 is looking at a

step-up of 60% or more."
    - Together they give $17.7m a year.
2. **The combined market share (X-07).**
    - Brindlewick's 10-K gives its own shares (19% and 18%). Trelliswood's investor day gives its shares (24% and 21%).
    - Neither source shows the combined 43% and 39%.
    - The deal brief's integration plan matches the investor-day statements about closing acquired leased capacity.
3. **Harvest Peak is the 10-Q's unnamed customer (X-12).**
    - The 10-Q reports an unnamed seven-year Central Valley agreement and two most-favored-customer review requests.
    - The trade press names Harvest Peak and reports a discount of about 9%.
    - The two together size the repricing risk. Two of the Harvest Peak sites are leases the plan would surrender (NEWS-09).
4. **Sandhaven was not a surprise to the company (X-06).** The 10-K "expect[ed] to negotiate" an extension. The District says it had been "clear with Brindlewick for more than a year" that there would be none.
5. **The I-5 demand is above the insurance tower and is not in the filings (X-14).**
    - The case file gives the $150.0m demand. The 10-K gives the $55.0m tower.
    - The 10-K described the crash without its three deaths. The 10-Q, filed after the demand was served, does not mention it.
6. **The class action disclosure lags events (X-08).** The 10-Q, filed August 6, 2026:
    - drops the 10-K's "without merit" statement;
    - omits the July 2026 Northern Frost settlement, which included cooperation with plaintiffs. The motion to dismiss was denied eight days later.
7. **The integration plan triggers an unrecorded liability (X-09).** The 10-K's facility table gives restoration costs by lease. The deal brief's plan surrenders four of those leases, triggering $118.0m that is not in its $45.0m budget. The two sites that drove FY2025 growth carry another $61.5m.
8. **The insurance accrual judgment is contradicted by later data (X-04).** The rate cut rests on the camera program. After it was made:
    - the company's own KPI data show accidents rising;
    - the I-5 complaint alleges 11 unreviewed camera alerts.
9. **FreshArc is a lost customer with an unaccrued loss (X-13).** The customer file ranks FreshArc tenth ($31.8m). The case file shows it liquidated, and counsel calls a $6.0m to $11.0m loss likely. The 10-Q accrues nothing.
10. **The ColdTrack impairment judgment is dated (X-15).** No impairment was taken at June 30, 2026, although deployments had already been paused on June 2. The 10-Q filed in August reports a 60.5% overrun, and the buyer plans to halt the program.

11. **The deferred maintenance pattern (X-16).** Maintenance capex fell from 4.1% to 2.3% of revenue while an engineering study found $96.0m of priority work. In the same period a compressor and its standby unit failed at Sandhaven 2 (inference about the link; a power disturbance was also involved).
12. **Named parties.** Every customer, supplier and litigant named in the sources was looked up in the customer file:
    - FreshArc is the tenth-largest customer ($31.8m), and Alder BioPharma the ninth ($33.6m).
    - Harvest Peak, Coastline, Westmark, Greenfield, Arcturus, Polar Ridge, Northern Frost, Coldmetric and Trelliswood are not listed top-ten customers.

6. Recommended deal protections and price considerations

This is a one-step cash merger of a public company. After closing there is no seller to indemnify the buyer. Protection therefore comes mainly through price, work before signing, interim covenants, closing conditions and the merger agreement's risk allocation (inference).

Price

1. Re-base the price on normalized earnings, not $250.0m (X-01, X-02). At 11.0x the project-rule base implies $26.55 to $27.70 per share before Sandhaven (projection).
2. Value Sandhaven as a finite stream ending September 30, 2028, or deduct the replacement cost of $180m to $220m (X-05).
3. Deduct the $118.0m of restoration that the plan triggers, and reassess the surrender plan against $21.0m a year of network synergies (X-09).
4. Add the deferred capex of $96.0m (X-16) and the property tax step-up of $4.7m a year (SEC-16).
5. Treat the award cash-out ($46.2m) and severance ($16.4m) as part of the price. Show the all-in multiple of 11.25x (X-11, SEC-38).

Structure and terms

6. **Antitrust:**
    - get antitrust counsel's market analysis before the binding proposal;
    - reset the $15.0m divestiture cap, the reverse fee and the outside date to match it;
    - confirm whether Trelliswood is a class action defendant or a Coldmetric subscriber (X-07, X-08).
7. **Sandhaven:** consider a contingent value right or price adjustment tied to an extension or a replacement site (X-05) (inference).
8. **Interim covenants requiring Trelliswood's consent for:**
    - pricing concessions and most-favored-customer settlements (X-12);
    - settlement of the class action, I-5 and Calder Valley matters (X-08, X-14, LIT-03);
    - new equity grants (X-11);
    - new power contracts for 2027 (X-03).
9. **MAE definition and bring-down:** address the class action, the ICE inspections and the Sandhaven talks explicitly (X-08, SEC-27, X-05).

Further diligence before signing

10. **Accounting:**
    - the restoration accounting (X-09, X-10);
    - an actuarial review of the insurance accrual (X-04);
    - the FreshArc accrual (X-13);
    - the ColdTrack impairment memo (X-15);
    - the Ironbridge sale treatment (SEC-18).
11. **Insurance:** the I-5 tower and the excess insurers' coverage position (X-14).
12. **Contracts:**
    - lease documents for the four surrendered sites;
    - change-of-control and assignment clauses (SEC-21);
    - the Harvest Peak contract (NEWS-09).
13. **Results:** Q3 2026 results and monthly 2026 EBITDA (X-02).
14. **Oversight after closing:** retain the CFO and CAO through the first audit and purchase accounting (SEC-42).

7. Open questions and management request list

Conflicts between sources

- **Sandhaven:** the 10-K expected an extension; the District says it was ruled out (X-06).
- **Class action merits:** the 10-K said "without merit"; counsel now calls the theory "viable" (X-08).
- **Insurance accrual:** the CFO credits the camera program; the accident data and allegations point the other way (X-04).
- **FreshArc:** the 10-Q relies on defenses; counsel's estimate puts them in doubt (X-13).
- **Harvest Peak:** management says "not comparable"; there is a reported 9% discount and two review requests (X-12).
- **I-9 compliance:** the company says it complies; the 10-Q reports 410 unresolved discrepancies (SEC-27).

Priority requests (Critical and High findings)

1. **For Trelliswood's own legal team:** is Trelliswood a class action defendant or a former Coldmetric subscriber? Is Brindlewick one of the two defendants named in the "holding the Coldmetric line" emails (X-07, X-08)?
2. **Antitrust (X-07):**
    - facility-level revenue and EBITDA in Puget Sound and the Northern Central Valley;
    - counsel's market definition and remedy estimate.
3. **Sandhaven (X-05, X-06):** District correspondence since 2024, alternative site status, carrying value of the improvements, and the customer list.
4. **Restoration (X-09, X-10):** the Holbrook report, lease documents for the four sites, the accounting memo on "indeterminate" settlement, and the auditor's view.
5. **Power (X-03):** 2027 contracts and prices, the cost of the 30% bought at tariff or index rates, and any customer pass-through.

6. **Insurance (X-04):** the actuarial report behind the 4.8% rate, reserves by accident year, and prior-year development.
7. **I-5 (X-14):** the excess insurers' position, the insurance tower, punitive damages, claims from other vehicles, and why the demand is not in the 10-Q.
8. **Class action (X-08):** counsel's loss estimate, any judgment-sharing agreement, settlement talks, any DOJ or FTC inquiry, and why the 10-Q omits the Northern Frost settlement.
9. **Pricing (X-12):** the Harvest Peak contract, the two customers asking for reviews, and the Central Valley share of revenue under most-favored-customer clauses.
10. **Deal costs (X-11):** the severance plan's definition of good reason, the four other officers' previous terms, and the option strike schedule.
11. **ICE (SEC-27):** the self-audit timeline, remediation, departures, and temporary labor cost.
12. **Results (X-02):** Q3 2026 results and monthly 2026 Adjusted EBITDA.

Other requests

13. **FreshArc (X-13):** the date of counsel's estimate, and FreshArc's LTM revenue and EBITDA.
14. **ColdTrack (X-15):** the impairment memo, remaining commitments, and the customers who moved volume.
15. **Capex (X-16, FIN-19):** the Holbrook priority list by site, and what the H1 2026 growth capex funded.
16. **Credit agreement (FIN-22):** covenant levels and headroom.
17. **Contracts (SEC-21):** change-of-control clauses across leases, the concession, and the customer and power contracts.
18. **Ironbridge (SEC-18):** the auditor consultation memo.
19. **Calder Valley (LIT-03):** capacity under the settlement window, site EBITDA, and the dock bank cost.
20. **Bayfront (FIN-11):** acquired revenue and organic growth.
21. **Fleet safety (LIT-10, FIN-14):** the ELD edit investigation and the FMCSA rating.
22. **Other liabilities (FIN-26):** the composition of the $25.5m.
23. **Goodwill (FIN-39):** the impairment test date and headroom.
24. **Fresno (NEWS-19, unconfirmed):** customer audit reports and the logger audit trail.

8. Appendix

Methodology

Architecture. A lead agent coordinated four specialist subagents, each with read-only access to one part of the data room:

- SEC filings;
- news and media;
- litigation;
- financial analysis.

A separate citation verifier checked their findings against the sources. Working memory (`memory/`) held the plan, the findings register, open questions, key metrics, every analyst and verifier report saved verbatim, and a timestamped run log. No internet access was used. All sources are in `targets/avocet/data/`.

Iterations.

- **Iteration 1:** all four analysts ran in parallel and produced 120 findings. The lead's cross-source analysis added 16 `X–` findings.
- **No iteration 2:** a second iteration was considered and not run. Targeted searches showed that the open Critical and High questions need documents that are not in the data room.

Checkpoint log

Checkpoint	What was shown in chat	Decision
1. Plan	Six IC questions with analysts, four hypotheses, analyst tasks	"approve"
2. Red flags	13 Critical and High parent findings with severity tests, main conflicts, proposed next step	"proceed"
3. Sign-off	Verification results and draft recommendation	"approve report"

Verification statistics

Batch	Checked	Verified	Partially verified	Not supported
A: SEC filings	40	33	7	0
B: News and litigation	31	26	5	0
C: Financial	34	26	8	0
D: Cross-source	16	8	8	0
Total	**121**	**93**	**28**	**0**

Of 136 register findings, 121 were verified and 15 Low findings were not sent for verification. Every Partially verified row was rewritten with the verifier's corrected wording and severity.

Severity changes after verification:

- X-01: High to Critical;
- SEC-25: High to Critical;
- SEC-12: Low to Medium;
- FIN-17 and FIN-25: Medium to High;
- FIN-28: Low to Medium.

Index of verified findings

121 findings: Verified or Partially verified. For Partially verified findings the wording is the verifier's corrected wording.

ID	Finding	Workstream	Severity	Status
X-01	Normalized LTM earnings base is $217.5m to $222.5m, not $250.0m (project rule: the unaccrued FreshArc loss of $6.0m to $11.0m deducted from the base; change-of-control property tax included); at 11.0x, value is $302.5m to $357.5m (11.0% to 13.0% of EV) below EV, before the run-rate fall and Sandhaven (projection)	Cross-source	Critical	Partially verified

ID	Finding	Workstream	Severity	Status
X-02	Operating trend: revenue, occupancy, price, throughput, transport margin and guidance weakened; annualized H1 2026 fall of $42.0m is $462.0m (16.8% of EV) at 11.0x (projection)	Cross-source	Critical	Verified
X-03	2021 fixed-price power contracts (70% of use at $61/MWh) end Dec 31, 2026; at 2027 to 2029 offers of about $104/MWh, cost rises $17.7m a year, $195.0m (7.1% of EV) at 11.0x (projection)	Cross-source	High	Verified
X-04	Insurance accrual rate cut from 6.5% to 4.8% (dated Jan 1, 2026) is put in doubt by later accident data and the I-5 suit; it adds $3.7m to the LTM and $7.3m a year (projection)	Cross-source	High	Partially verified
X-05	Sandhaven 1 and 2 earn $31.0m (12.4%) of LTM Adjusted EBITDA on a concession ending Sep 30, 2028 with no renewal option; the District's executive director says there will be no extension past 2028; $341.0m (12.4% of EV) at 11.0x; the deal brief does not address it	Cross-source	Critical	Partially verified
X-06	Sandhaven disclosure gap: the 10-K said Brindlewick expected to negotiate an extension while the Harbor District says it had told Brindlewick for more than a year there would be none	Cross-source	Medium	Verified
X-07	Merger review: combined capacity shares of about 43% (Puget Sound) and 39% (Northern Central Valley), the buyer's stated plan to close acquired capacity, and a $15.0m divestiture cap could block closing	Cross-source	Critical	Partially verified
X-08	Antitrust class action: treble damages with joint and several liability give a $1,800.0m upper bound (65.5% of EV); no accrual; the 10-Q omits the July 2026 co-defendant settlement	Cross-source	Critical	Verified
X-09	Unrecorded lease-end restoration of $312.0m (11.3% of EV, 48.6% of equity); the buyer's plan to surrender four leases triggers $118.0m, which is not in the $45.0m integration budget	Cross-source	Critical	Verified
X-10	Effective-controls conclusions for FY2025 (ICFR, unqualified opinion) and H1 2026 (disclosure controls) sit against unrecorded restoration (FY2025, H1 2026), the insurance accrual cut (H1 2026) and the unaccrued FreshArc loss (H1 2026); restatement risk for those periods (inference)	Cross-source	High	Partially verified
X-11	Known deal costs: award cash-out $46.2m plus CIC severance $16.4m plus the $110.0m reverse termination fee total $172.6m (6.3% of EV); closing-case cost is $62.6m (2.3%)	Cross-source	High	Verified
X-12	Harvest Peak seven-year contract at about 9% below rate card has triggered most-favored-customer reviews; upper bound $15.2m a year on $169.0m of MFN revenue, $167.3m (6.1% of EV) (projection)	Cross-source	High	Verified
X-13	FreshArc (10th-largest customer, $31.8m) ceased operations; the preference loss Brindlewick's counsel calls likely ($6.0m to $11.0m, if the case is not settled) is not accrued	Cross-source	Medium	Partially verified
X-14	I-5 fatal crash suit: $150.0m demand against $55.0m of combined retention and excess cover leaves $95.0m uninsured; the 10-K omitted the deaths and the 10-Q omits the demand	Cross-source	High	Verified
X-15	ColdTrack: no impairment of $47.0m capitalized software at Jun 30, 2026, although deployments were paused before that date and the August 6 10-Q reports a 60.5% cost overrun; the buyer's plan halts it (inference: write-off)	Cross-source	Medium	Partially verified

ID	Finding	Workstream	Severity	Status
X-16	Deferred maintenance: capex fell from 4.1% to 2.3% of revenue, $96.0m of priority replacements fall in 2027 to 2029, and a compressor and its standby failed at Sandhaven 2	Cross-source	Medium	Partially verified
SEC-01	Adjusted EBITDA definition and the LTM build check out	SEC filings	Low	Verified
SEC-02	Add-backs labeled non-recurring come back every period	SEC filings	Low	Verified
SEC-03	The 2024 sale-leaseback gain is correctly kept out of Adjusted EBITDA	SEC filings	Low	Verified
SEC-04	A cut in the insurance accrual rate lifts LTM earnings by $3.7m while accidents rose	SEC filings	Medium	Verified
SEC-05	First-half 2026 results weakened in almost every segment and metric	SEC filings	High	Verified
SEC-06	ColdTrack service credits of $4.6m reduced H1 2026 revenue; two customers moved part of their volume to other providers (10-Q does not say whether it returned); one anonymous customer says it moved about a third and has not moved it back (single anonymous source)	SEC filings	Low	Partially verified
SEC-07	ColdTrack is over budget and paused, with $47.0m capitalized and no impairment; the buyer will halt it	SEC filings	Medium	Verified
SEC-08	FY2025 growth includes acquired and new capacity	SEC filings	Low	Verified
SEC-11	The Sandhaven concession ends Sep 30, 2028, and the Harbor District plans other use from 2029	SEC filings	Critical	Verified
SEC-12	The 10-K said management expected to negotiate a Sandhaven extension; the District says it had told Brindlewick for more than a year that there would be no extension (news, single named source); alternative sites first appear in the 8-K; not timing alone	SEC filings	Medium	Partially verified
SEC-13	$312.0m of lease-end restoration is unrecorded, and the buyer's plan triggers $118.0m of it	SEC filings	Critical	Verified
SEC-14	The effective-controls conclusion sits alongside the unrecorded restoration obligations	SEC filings	Medium	Verified
SEC-15	Fixed-price power ends Dec 31, 2026, before closing, and 2027 forward prices are "substantially above"	SEC filings	High	Verified
SEC-16	The change of control itself raises California property tax by about $4.7m a year	SEC filings	Medium	Verified
SEC-17	Maintenance capex was deferred (2.5% of revenue in 2025, 2.3% in H1 2026, against 4.1% in 2023), and $96m of priority replacements fall due in 2027 to 2029, most of it after a Q2 to Q3 2027 closing	SEC filings	Medium	Partially verified
SEC-18	The Ironbridge sale-leaseback depends on a contestable "sale" judgment	SEC filings	Medium	Verified
SEC-19	Most-favored-customer clauses cover about $169.0m of revenue, and two customers have asked for repricing	SEC filings	High	Verified
SEC-20	Customer concentration is low	SEC filings	Low	Verified
SEC-21	Change-of-control and assignment terms of leases and contracts are not disclosed	SEC filings	Medium	Verified
SEC-22	No pension or multiemployer plan disclosed, and the workforce is non-union	SEC filings	Low	Verified

ID	Finding	Workstream	Severity	Status
SEC-23	No debt matures before 2030, and all debt can be repaid at par	SEC filings	Low	Verified
SEC-24	Covenant terms and change-of-control default are not disclosed, and leverage is rising	SEC filings	Medium	Verified
SEC-25	Antitrust class action survived the motion to dismiss (Aug 14, 2026) and seeks treble damages on at least $600m of alleged class-wide overcharges, with joint and several liability ($1,800.0m upper bound, 65.5% of EV); nothing is accrued	SEC filings	Critical	Partially verified
SEC-26	The merger overlaps in two markets where Brindlewick holds about 19% and 18%	SEC filings	High	Verified
SEC-27	ICE is inspecting six warehouses; a self-audit found unresolved eligibility documentation discrepancies for about 410 employees (6.2% of all staff); no penalty or workforce estimate	SEC filings	High	Partially verified
SEC-28	The 10-K's I-9 risk factor was written as hypothetical while a self-audit was under way	SEC filings	Low	Verified
SEC-29	Fatal I-5 accident suit is reserved only to the $5.0m retention	SEC filings	Medium	Verified
SEC-30	Coastline seeks $41.2m for spoiled product; $1.2m is accrued under a contractual cap	SEC filings	Medium	Verified
SEC-31	FreshArc (No. 10 customer, $31.8m FY2025 revenue) has liquidated; its trustee seeks $14.6m of preferences; counsel expects a recovery of $6m to $11m, none accrued (H1 2026 interim statements, and Q3 2026 if unaccrued: restatement risk, inference)	SEC filings	Medium	Partially verified
SEC-32	Calder Valley suit seeks a ban on night truck traffic, with a hearing on Jan 15, 2027	SEC filings	Medium	Verified
SEC-33	Polar Ridge suit is indemnified, and the defense tender was accepted	SEC filings	Low	Verified
SEC-34	Greenfield Produce case dismissed with prejudice, no appeal	SEC filings	Low	Verified
SEC-35	The 10-K does not mention several events from early 2026	SEC filings	Low	Verified
SEC-36	Controls effective, clean audit opinions, long-tenured auditor	SEC filings	Low	Verified
SEC-37	Known deal costs total $62.6m (2.3% of EV)	SEC filings	Medium	Verified
SEC-38	Neither the sources and uses nor the $45.0m integration budget includes the $16.4m change-in-control severance, an unbudgeted cash cost after closing; fully diluted EV is $2,796.2m (11.18x), all-in cost with severance $2,812.6m (11.25x); all value tests stay on $2,750.0m	SEC filings	Medium	Partially verified
SEC-39	PSUs vest at target under the plan, and the $46.2m cash-out recomputes	SEC filings	Low	Verified
SEC-40	The severance plan was adopted the day before the sale review and raised multiples	SEC filings	Low	Verified
SEC-42	No management departures disclosed, but the buyer's plan removes the CFO and CAO while judgments are open	SEC filings	Medium	Verified
SEC-45	Value-added services is still growing	SEC filings	Low	Verified
NEWS-01	2026 guidance cut; H1 2026 Adjusted EBITDA down 15.1%	News and media	High	Verified

ID	Finding	Workstream	Severity	Status
NEWS-02	Occupancy decline, rate cuts and new Central Valley capacity	News and media	Medium	Verified
NEWS-03	Transportation operating ratio worsened to 96.4%	News and media	Medium	Verified
NEWS-04	Lower insurance and claims accrual rate added about $3.7m to H1 2026	News and media	Medium	Verified
NEWS-05	Value-added services still growing (positive)	News and media	Low	Verified
NEWS-06	2024 sale-leaseback gain of $46.0m (one-off, outside the LTM)	News and media	Low	Verified
NEWS-08	Harvest Peak seven-year contract priced about 9% below rate card	News and media	Medium	Verified
NEWS-09	Harvest Peak volume sits at two of the four sites Trelliswood plans to close	News and media	Medium	Verified
NEWS-10	ColdTrack rollout failures, customer credits and deployment pause	News and media	Medium	Verified
NEWS-11	2027 to 2029 power forward prices near record	News and media	Medium	Verified
NEWS-12	Antitrust: Trelliswood's stated shares in both overlap markets	News and media	High	Verified
NEWS-13	Trelliswood investor-day statements a reviewer could use	News and media	High	Verified
NEWS-14	Coldmetric information-exchange ruling as a merger-review signal	News and media	Medium	Verified
NEWS-15	Cold storage price-sharing class action against Brindlewick: damages are trebled and defendants can be held jointly liable for the whole amount, so $1,800.0m is the upper bound; only Northern Frost agreed to cooperate with plaintiffs (Coldmetric cooperates with the court)	News and media	Critical	Partially verified
NEWS-16	I-5 fatal crash wrongful death suit, $150m demand	News and media	High	Verified
NEWS-17	Rising fleet crash rate	News and media	Medium	Verified
NEWS-18	Calder Valley noise suit seeks overnight truck ban	News and media	Medium	Verified
NEWS-20	ICE I-9 inspections at six sites and about 410 unresolved eligibility discrepancies (company disclosure); reported night-shift staffing losses and temporary labor at about 35% above payroll (unconfirmed: unnamed workers and agency)	News and media	Medium	Partially verified
NEWS-21	Sandhaven concession ends September 30, 2028, with no extension	News and media	High	Verified

ID	Finding	Workstream	Severity	Status
NEWS-22	CEO's extension expectation contradicted by the Harbor District	News and media	Medium	Verified
LIT-01	Antitrust class action: $1,800.0m upper bound under trebled, joint and several damages, no accrual; Brindlewick subscribed to Coldmetric for the whole period the alleged exchange operated (2019 until reports were suspended in March 2025); the class covers purchases from 2019 to present	Litigation	Critical	Partially verified
LIT-02	Okafor wrongful death: $150.0m demand, defense counsel's adverse view on liability, insurance unconfirmed	Litigation	High	Verified
LIT-03	Calder Valley nuisance: risk of an injunction on night operations	Litigation	Medium	Verified
LIT-04	FreshArc preference claim: $14.6m claimed, counsel's "likely" $6.0m to $11.0m if not settled, no accrual; the Q2 2026 10-Q relies on defenses that counsel's estimate puts in doubt, and the Q1 and Q2 2026 interim statements may lack an accrual of at least $6.0m (inference)	Litigation	Medium	Partially verified
LIT-05	Coastline Seafood spoilage: $41.2m claimed against an about $1.24m contractual limit; summary judgment hearing December 11, 2026	Litigation	Medium	Verified
LIT-06	Westmark / Polar Ridge alter ego claim: neutralized by an uncapped, accepted indemnity (mitigant)	Litigation	Low	Verified
LIT-07	Greenfield Produce breach of contract: dismissed with prejudice, closed (mitigant)	Litigation	Low	Verified
LIT-09	Antitrust class action: effect on the merger review, injunction, and Trelliswood's own status	Litigation	Medium	Verified
LIT-10	Okafor fleet safety allegations: 15.5 hours on duty against a 14-hour limit, 11 unreviewed camera fatigue events and a post-crash ELD edit; Brindlewick admits the edit but says it corrected a duty-status error, and says the alerts were reviewed; the alleged yearly rise in accident frequency since 2023 matches Brindlewick's KPI data	Litigation	Medium	Partially verified
LIT-11	FreshArc: loss of the tenth-largest customer and $3.9m of unpaid services	Litigation	Medium	Verified
LIT-12	Sandhaven 2 freezer failure: both the main and the standby compressor failed	Litigation	Medium	Verified
FIN-01	The $250.0m LTM Adjusted EBITDA rebuilds exactly from the source	Financial analysis	Low	Verified
FIN-02	H1 2026 Adjusted EBITDA is down 15.1%; the annualized fall of $42.0m is worth $462.0m at 11.0x	Financial analysis	Critical	Verified
FIN-03	Adjusting only for the insurance accrual change (FIN-04) and recurring severance (FIN-05), normalized LTM and run-rate earnings imply $51.7m to $310.2m less value at 11.0x (projection); the bridge excludes items in the SEC filings and news (power, property tax, ColdTrack credits, FreshArc), which X-01 adds	Financial analysis	High	Partially verified
FIN-04	The insurance and claims accrual rate was cut from 6.5% to 4.8% while the accident rate rose 16.7%	Financial analysis	High	Verified
FIN-05	Severance and restructuring "non-recurring" costs recur every year	Financial analysis	Low	Verified

ID	Finding	Workstream	Severity	Status
FIN-06	Transaction-related costs of $1.4m in H1 2026 predate the announced strategic review	Financial analysis	Low	Verified
FIN-09	The November 2024 sale-leaseback gain is correctly excluded from Adjusted EBITDA	Financial analysis	Low	Verified
FIN-10	Revenue growth turned negative, and Q3 2025 breaks the trend	Financial analysis	High	Verified
FIN-11	Two 2025 additions flatter H1 2026 against H1 2025: Bayfront Cold Storage, acquired March 2025 for $88.0m (42k positions), and Calder Valley, opened June 2025 (64k positions); like-for-like decline is worse than the reported -1.9% (inference); revenue from the two sites is not disclosed	Financial analysis	Medium	Partially verified
FIN-12	Warehousing occupancy fell 4.2 points and revenue per occupied pallet fell 3.8%	Financial analysis	High	Verified
FIN-13	Transportation volume is falling and its operating ratio is near breakeven	Financial analysis	Medium	Verified
FIN-14	DOT recordable accidents per million miles are up 16.7% in six months	Financial analysis	Medium	Verified
FIN-15	Value-added services are still growing	Financial analysis	Low	Verified
FIN-16	Most-favored-customer pricing covers a rising share of warehousing revenue while rates fall	Financial analysis	Medium	Verified
FIN-17	About 70% of electricity is bought at $61.0/MWh under 2021 fixed-price agreements that expire Dec 31, 2026; at the about $104/MWh 2027 to 2029 offers, the fixed volume costs about $17.7m more a year, $195.0m at 11.0x (7.1% of EV); range $14.8m to $20.6m a year (5.9% to 8.2%) (projection)	Financial analysis	High	Partially verified
FIN-18	Maintenance capex fell to 2.3% of revenue while refrigeration systems aged	Financial analysis	Medium	Verified
FIN-19	No pallet positions or warehouses were added in H1 2026 despite $48.0m of growth capex; no source says what it funded (construction in progress or new services, inference); if some of it is sustaining spend, FIN-18 understates the maintenance gap (inference)	Financial analysis	Medium	Partially verified
FIN-20	Capitalized software of $47.0m at Jun 30, 2026, principally ColdTrack, would have little use to the buyer once the plan halts ColdTrack (inference, non-cash); the 10-Q concluded no impairment was required although deployments were paused and the program estimate rose from $38.0m to $61.0m	Financial analysis	Low	Partially verified
FIN-21	The deal brief's net debt of $1,118.0m ties to the June 30, 2026 balance sheet	Financial analysis	Low	Verified
FIN-22	Leverage rose to 4.47x in six months, and interest cover is falling	Financial analysis	Medium	Verified
FIN-24	Operating lease liabilities of $668.0m sit outside net debt, consistent with the EBITDA definition	Financial analysis	Low	Verified

ID	Finding	Workstream	Severity	Status
FIN-25	The $45.0m integration budget has no cost for surrendering the four leased warehouses; the 10-K puts their lease-end restoration at $118.0m (undiscounted, 2025 prices), which an exit decision brings onto the balance sheet; remaining rent is not disclosed (current terms end 2029 to 2033); X-09 holds the $312.0m liability	Financial analysis	High	Partially verified
FIN-26	Possible debt-like items outside the $1,118.0m: accrued claims reserves of $44.1m and other non-current liabilities of $25.5m (composition unknown), together $69.6m (2.5% of EV); deferred refrigeration projects (FIN-18) and restoration (X-09) are separate issues; CIC severance of about $16.4m is not accrued; no source supports a multiemployer exposure (no union employees)	Financial analysis	Medium	Partially verified
FIN-27	Customer concentration is low and stable	Financial analysis	Low	Verified
FIN-28	FreshArc Distributors (rank 10 in FY2025, $31.8m, 2.3% of revenue) was the only listed top-10 customer whose revenue fell ($34.1m to $31.8m, -6.7%); it filed Chapter 11 on Jan 12, 2026 and ceased operations in March 2026, so its revenue will not recur; part of it sits in the LTM base (inference)	Financial analysis	Medium	Partially verified
FIN-30	Active customers fell in H1 2026, and there is no retention data	Financial analysis	Low	Verified
FIN-31	Cash conversion has held steady	Financial analysis	Low	Verified
FIN-32	Free cash flow is thin once all capex and finance leases are paid	Financial analysis	Medium	Verified
FIN-34	DSO is stable at about 48 days	Financial analysis	Low	Verified
FIN-35	The equity award cash-out recomputes to $46.2m	Financial analysis	Medium	Verified
FIN-36	Enterprise value and sources and uses arithmetic tie	Financial analysis	Low	Verified
FIN-37	Sources and uses omit some closing items	Financial analysis	Medium	Verified
FIN-38	Termination fee arithmetic ties	Financial analysis	Low	Verified
FIN-39	Goodwill and intangibles total $349.0m; the impairment test date is not in my files	Financial analysis	Low	Verified

Findings not verified (Low only)

These 15 Low findings were not sent to the verifier. Their register status stays Open. Each is listed here as "not verified".

ID	Finding	Workstream	Severity	Status
SEC-09	No FY2026 guidance in the SEC filings	SEC filings	Low	not verified

ID	Finding	Workstream	Severity	Status
SEC-10	Share buybacks in Q1 2026, then suspended in April	SEC filings	Low	not verified
SEC-41	Basic and fully diluted share counts	SEC filings	Low	not verified
SEC-43	No related person transactions, and Section 16 reports were on time	SEC filings	Low	not verified
SEC-44	2025 bonuses paid at 104% on an Adjusted EBITDA target	SEC filings	Low	not verified
NEWS-07	Market reaction and takeover speculation	News and media	Low	not verified
NEWS-19	Fresno temperature-log rumor, denied by the company	News and media	Low	not verified
NEWS-23	Food bank donation	News and media	Low	not verified
LIT-08	Canadian trademark opposition by Brindlewick Papeterie	Litigation	Low	not verified
FIN-07	The acquisition integration add-back is declining and tied to the 2025 acquisition	Financial analysis	Low	not verified
FIN-08	Share-based compensation add-back	Financial analysis	Low	not verified
FIN-23	Share buybacks continued while the revolver funded the shortfall	Financial analysis	Low	not verified
FIN-29	Alder BioPharma Distribution grew 18.3%	Financial analysis	Low	not verified
FIN-33	A working capital inflow held H1 2026 operating cash flow flat	Financial analysis	Low	not verified
FIN-40	Headcount is down 1.1%	Financial analysis	Low	not verified

Source index

Folder	Files
`targets/avocet/data/`	`deal-brief.md`, `README.md`
`sec-filings/`	`BWCC_10-K_FY2025_excerpts.md`, `BWCC_DEF14A_2026_excerpts.md`, `BWCC_8-K_2026-03-20_harbor-district-update.md`, `BWCC_10-Q_Q2-2026_excerpts.md`, `BWCC_8-K_2026-09-22_strategic-review.md`
`news/`	14 articles dated December 9, 2025 to October 14, 2026 (Central Valley Business Journal, Capital Markets Wire, Sandhaven Harbor Ledger, Freight Safety Monitor, ColdChainTalk forum, Supply Chain Insider, Courtroom Wire, Grid & Power Report)
`litigation/`	`docket_index.csv`; case files for LIT-01 to LIT-06 (LIT-07 and LIT-08 appear in the docket index only)

Folder	Files
`financials/`	`README.md`, `income_statement.csv`, `balance_sheet.csv`, `cash_flow.csv`, `adjusted_ebitda_reconciliation.csv`, `kpis.csv`, `revenue_by_customer.csv`, `revenue_quarterly.csv`

Limitations

- **Fictional data.** This is a fictional case study. Every company, person and figure is invented.
- **Excerpts only.** The SEC files are excerpts, and the litigation files are summaries, not full dockets. Where a fact is "not found", it may sit in parts of the documents that were not provided.
- **Labeled conclusions.** Projections, normalizations and inferences are labeled. They depend on the stated assumptions, in particular the 2027 power price, whether the ColdTrack credits recur, and the size of the FreshArc loss.
- **Market shares.** They come from two different data sets, so the combined shares are approximate.
- **Missing data.** No facility-level EBITDA, lease documents, insurance contracts, actuarial reports or antitrust analysis was available.
- **Not advice.** The report is a draft for human decision-makers and is not investment, legal or accounting advice.